

H World Group (Huazhu)

Quartr-Enhanced Investment Analysis

Ticker: HTHT (NASDAQ / HKEX)

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Market Cap: ~USD 16 billion

1. Business History

H World Group, known as Huazhu Group until its 2022 rebrand, is the product of one of China's most prolific internet-era entrepreneurs applying a technology-first mindset to the hotel industry. The company's trajectory from a single economy hotel in Kunshan in 2005 to one of the world's largest hotel operators -- with over 12,700 properties by the mid-2020s -- reflects a series of deliberate strategic pivots, each building on the founder's conviction that hotel management is fundamentally a platform business, not a real estate business.

The Founder and the Founding Logic. Ji Qi is a serial entrepreneur who co-founded Ctrip in 1999, one of China's dominant online travel agencies, and then founded Home Inns in 2002, China's first major branded economy hotel chain. He left Home Inns in 2005 and immediately launched HanTing Hotels (the Chinese name "Huazhu" derives from "China" and "stay"), opening his first property in Kunshan, Jiangsu Province. The founding thesis was sharpened by his experience at Home Inns: standardized, clean, affordable branded hotels could capture massive share in a Chinese lodging market that was overwhelmingly fragmented among unbranded independent operators. Ji Qi brought from Ctrip an obsession with technology-enabled operations and from Home Inns a deep understanding of unit economics in economy-tier Chinese hotels. This combination -- tech founder DNA applied to a bricks-and-mortar hospitality business -- has remained the company's defining cultural characteristic across two decades.

Economy Hotels and the NASDAQ IPO (2005-2012). Huazhu expanded aggressively in the HanTing brand during its first five years, focusing on leased-and-operated economy hotels clustered in first- and

second-tier Chinese cities. The model was capital-intensive but benefited from low Chinese construction and labor costs, as well as a structurally undersupplied market for branded budget accommodation. The company listed on the NASDAQ in November 2010, raising approximately \$110 million. At the time of its IPO, Huazhu operated roughly 500 hotels, virtually all under the HanTing brand and virtually all leased-and-operated. The IPO was significant not only for capital access but because it committed the company to U.S. GAAP transparency and gave Ji Qi a currency for acquisitions.

The Multi-Brand Pivot and Upscale Expansion (2012-2018). The first major strategic inflection came around 2012-2014, when Huazhu recognized that the economy hotel segment was becoming crowded and that rising Chinese consumer incomes were creating demand for midscale and upscale branded hotels. Rather than building new brands from scratch in every case, Huazhu pursued a mix of organic brand creation and joint ventures. The company launched or incubated brands like JI Hotel (midscale, launched around 2012), Orange Hotel, Starway Hotel, and Crystal Orange (acquired in 2017). A pivotal partnership was the joint venture with Accor (the French hotel group), signed in 2014 and formalized as a cross-shareholding arrangement in 2016. Under this deal, Huazhu gained master franchise rights to operate several Accor brands in China -- including Mercure, Ibis, and Novotel -- while Accor took a stake in Huazhu. This gave Huazhu instant access to internationally recognized midscale and upscale brands without the years of brand-building required organically.

Simultaneously, Huazhu began its asset-light transformation. The company started shifting from leased-and-operated hotels toward franchise-and-managed models (referred to as "manachised" hotels in company filings). Under this model, third-party property owners invest the capital, Huazhu supplies the brand, the technology platform, the central reservation system, and operational standards, and takes management fees and franchise fees. This transition was gradual but deliberate: the franchised/manachised share of the hotel portfolio rose from a modest proportion at the time of the IPO to a majority of rooms by the late 2010s, and exceeded 90% of new openings by the early 2020s.

Deutsche Hospitality and the International Bet (2019). The most dramatic single event in Huazhu's history was the November 2019 acquisition of Deutsche Hospitality (DH) for approximately EUR 700 million. DH was the parent of Steigenberger Hotels & Resorts, a storied German luxury hotel brand dating to 1930, along with InterCityHotel, MAXX by Steigenberger, and Jaz in the City. This was a bold bet for three reasons: it marked Huazhu's first major step outside China, it pushed the company into the upscale/luxury segment it had never operated in domestically, and it closed just weeks before the COVID-19 pandemic shut down global travel. The timing was unfortunate in the short term -- DH's European properties suffered acutely during lockdowns -- but the strategic rationale was sound. Ji Qi saw Deutsche Hospitality as providing both a European operating footprint and an upscale brand portfolio that could eventually be brought into China.

Rebrand, Dual Listing, and the Current Form (2020-Present). The COVID-19 pandemic was devastating operationally but Huazhu used the period to accelerate its asset-light conversion and close underperforming leased properties. When travel recovered, the company was structurally leaner. In September 2022, the company rebranded from Huazhu Group to H World Group, reflecting its ambition as an international multi-brand hotel platform. The company had already completed a secondary listing on the Hong Kong Stock Exchange in September 2020, providing access to Asian capital markets and reducing dependence on the NASDAQ listing amid U.S.-China regulatory

tensions.

By the mid-2020s, H World operated a portfolio spanning economy (HanTing, Hi Inn, Elan), midscale (JI Hotel, Orange, Starway, Crystal Orange), upscale (Mercure, Novotel, MAXX), and luxury (Steigenberger). The franchised/franchised model accounted for 92% of rooms. The company's technology platform -- including its proprietary central reservation system, its loyalty program with 300+ million members, and its hotel management operating system -- remained the connective tissue across brands. The cultural DNA is consistent from founding to present: apply technology and standardization to a fragmented, offline industry, then scale relentlessly through a capital-light model.

2. Management & Incentives

H World Group's management story begins and ends with its founder, Ji Qi. A serial entrepreneur of rare pedigree in China's consumer internet and hospitality sectors, Ji Qi co-founded Ctrip (now Trip.com Group) before founding Home Inns, which became one of China's largest economy hotel chains prior to its privatization in 2016. He then founded Huazhu, building it into China's largest hotel group by room count. Ji Qi currently serves as Executive Chairman, and while he stepped back from the CEO role in 2015, his continued presence as chairman and largest individual shareholder means the company retains a founder-led strategic orientation -- a feature that investors in Chinese consumer companies rightly prize. His track record across three successful hospitality and travel ventures is arguably unmatched in the Chinese hotel industry.

The CEO role has been held by Jin Hui (Jenny) Zhang since 2015, making her tenure now exceed a decade -- a notable span of stability for a Chinese-listed company of this scale. Zhang joined Huazhu in 2014 as COO after a career at the International Air Transport Association (IATA) and prior roles in strategy consulting. Her decade at the helm has coincided with H World's transformation from a predominantly economy-hotel operator into a multi-brand platform spanning economy, midscale, and upscale segments, as well as the company's international expansion through Deutsche Hospitality. Under Zhang, H World has executed a franchise-heavy, asset-light strategy that has driven managed and franchised (M&F) hotels to approximately 70% of profit contribution by Q3 2025. The consistency of her strategic messaging across earnings calls -- emphasizing quality growth, franchisee profitability, and disciplined expansion -- is a mark of credibility.

On the CFO front, a transition is underway that warrants monitoring. Hui Chen, who served as CFO through 2025 and helped architect the company's capital return framework, is handing over to Arthur Yu as of March 2026. CFO transitions at any company create a window of uncertainty, but the fact that this handover was announced in advance during the Q4 2025 earnings call and positioned as orderly suggests management is handling it professionally.

Ji Qi's ownership stake has historically been significant, placing him firmly in the "founder with skin in the game" category. As a founder-controlled company via dual-class shares, Ji Qi's personal wealth is heavily tied to H World's share price, creating alignment that mitigates many agency problems common in large-cap Chinese companies. Senior management also holds equity through share-based compensation plans, though the quantum is modest relative to the founder's stake.

H World's executive compensation follows a structure common among Cayman-incorporated,

U.S.-listed Chinese companies: base salaries complemented by performance-based cash bonuses and share-based compensation tied to financial and operational metrics. The company's disclosures on precise weighting and targets are less granular than U.S. domestic filers typically provide -- a common limitation with VIE-structured Chinese ADRs. What matters more than the disclosure format is the revealed preference in outcomes: management has consistently prioritized profitable growth and shareholder returns over empire-building.

This is where H World's management shines most convincingly. The company announced a USD 2 billion three-year Total Shareholder Return (TSR) plan, and by the end of 2025, over 75% of that commitment had been executed -- ahead of schedule. In 2025 alone, H World returned approximately USD 760 million to shareholders through USD 650 million in dividends and USD 110 million in buybacks. For a Chinese-listed company with a market capitalisation of roughly USD 16 billion, this level of cash return is distinctive and signals management's confidence in the sustainability of free cash flow generation.

Beyond shareholder returns, management's acquisition record is mixed but defensible. The Deutsche Hospitality acquisition gave H World a European footprint and upscale brand portfolio, though integration has proven challenging. That said, management has not compounded this with further large-scale M&A, instead focusing capital on organic expansion through its franchise model. The discipline to resist further deal-making after a complex cross-border acquisition speaks well of management's self-awareness.

The most significant governance risk is key-person concentration around Ji Qi and Jenny Zhang. Should either depart unexpectedly, the market would likely react negatively. There is no publicly disclosed formal succession plan for either the chairman or CEO role. Across earnings calls, H World's management communicates in a style that is measured, data-driven, and largely free of promotional excess. Guidance has been conservative -- the company has a pattern of under-promising and over-delivering on margin expansion and unit growth. The TSR plan execution running ahead of schedule is the clearest recent example of promise-and-deliver.

3. Competitive Landscape

The Chinese hotel industry is defined by a structural characteristic that simultaneously represents H World's greatest opportunity and the source of its most important competitive advantage: extreme fragmentation. Branded hotels account for roughly 35% of the country's total room supply, compared with over 70% in the United States. This means China still has an enormous pool of independent, single-property operators that lack the technology, procurement scale, and distribution reach to compete effectively against branded chains. The consolidation runway is long -- even aggressive expansion by all major branded operators over the next decade would not exhaust the addressable market. This fragmentation shapes the competitive dynamic profoundly: the primary battle is not branded chains fighting each other for the same customer, but rather branded operators collectively converting independents into franchisees.

H World operates at the top of this consolidation wave. With approximately 1.26 million rooms across more than 12,700 hotels, it is the largest hotel group in China by room count, and its flagship HanTing

brand holds the distinction of being the largest single hotel brand globally by rooms. Its principal domestic competitors are Jinjiang International (which controls brands including Vienna, 7Days, and Plateno and operates a comparable number of rooms but across a more fragmented brand portfolio), BTG Homeinns (historically strong in economy segment), GreenTree Hospitality, and the fast-growing Atour Lifestyle Holdings, which has carved out a niche in the upper-midscale segment with a lifestyle-oriented brand identity. Among these, Jinjiang is the most direct peer in scale, though it differs meaningfully in strategy: Jinjiang has grown substantially through acquisition, producing a brand portfolio that is arguably less coherent and harder to cross-sell within a single loyalty ecosystem. H World's moat rests on several interlocking advantages, the most important of which is its direct distribution ecosystem. The company's loyalty program, with over 300 million members, generates roughly 74% of room nights and enables a direct booking rate above 65% through its central reservation system. This is a self-reinforcing flywheel: a large membership base makes franchising with H World more attractive to property owners because it guarantees higher occupancy and lower customer acquisition costs, while each new property added to the network makes the loyalty program more valuable to members by expanding geographic coverage. Every percentage point of direct bookings translates into lower distribution costs for franchisees, strengthening the value proposition of the H World system relative to independents or smaller chains that remain heavily dependent on OTA traffic.

The franchise and manachise model creates an asset-light structure with high operating leverage. This model also embeds meaningful switching costs for franchisees. A hotel owner who has invested in H World's standardized room design, technology stack, property management system, and brand signage faces significant cost and disruption if they attempt to switch to a competing chain. H World's centralized procurement system provides franchisees with cost advantages they cannot replicate independently, and its proprietary technology platform handles everything from dynamic pricing to housekeeping scheduling.

The durability of these advantages is considerable but not absolute. The most credible erosion risk comes not from traditional competitors but from platform disruption. If a major OTA like Trip.com or Meituan were to deepen integration with independent hotels -- providing them with technology, procurement, and brand certification that closes the gap with chain operators -- the value proposition of franchising with H World could weaken at the margin. Meituan's aggressive push into hotel distribution represents a particularly relevant threat to economy-segment bookings, where brand loyalty is weakest. Macroeconomic softness in China poses a cyclical risk to pricing power, and the European operations through Legacy-DH provide geographic diversification but remain a small and lower-margin contributor.

Barriers to entry in China's branded hotel segment are moderate at the property level but very high at the system level. Building a nationwide network of 10,000+ hotels with an integrated technology platform, procurement system, and 300-million-member loyalty program requires decades and billions of dollars of cumulative investment. H World sits in the most valuable position in the hotel value chain -- as the franchisor and platform operator -- capturing recurring franchise fees while leaving the capital expenditure and operating risk to franchisee owners.

4. Financial Characteristics

H World Group's financial profile is defined by one central structural reality: it is a hotel platform company executing a decisive shift from leased-and-owned (L&O) properties toward a managed-and-franchised (M&F) model, and that transition is the single most important lens through which to read every margin, return, and cash flow figure in its financials.

Revenue Model and Segment Mix. H World generates revenue from three streams:

leased-and-owned hotels (full room revenue, bearing operating costs); managed-and-franchised hotels (franchise fees, management fees, CRS charges); and "other" revenue (technology platform, ancillary services). In FY2025, total revenue reached RMB 25.3 billion, up 5.9% year-over-year. The critical line is M&F revenue, which hit RMB 11.7 billion, growing 23.1% -- roughly four times the rate of consolidated revenue growth. M&F now contributes 69% of gross operating profit, up five percentage points from the prior year, and 2026 guidance calls for M&F revenue growth of 12-16% against total revenue growth of only 2-6%. The implication is clear: H World's top line is becoming increasingly fee-based, with L&O revenues flat to declining.

Margins: Levels and Trajectory. The margin story over the past seven years is one of COVID devastation followed by a powerful structural recovery that has now exceeded pre-pandemic profitability:

Year	Revenue (RMB B)	Operating Income (RMB B)	Op Margin	Net Income (RMB B)
FY2018	10.06	2.34	23.3%	0.72
FY2019	11.21	2.11	18.8%	1.76
FY2020	10.20	-1.69	-16.6%	-2.19
FY2021	12.79	0.16	1.3%	-0.48
FY2022	13.86	-0.29	-2.1%	-1.85
FY2023	21.88	4.71	21.5%	4.13
FY2024	23.89	5.20	21.8%	3.05
FY2025	25.31	6.82	26.9%	5.12

The FY2025 operating margin of 26.9% represents the highest in the company's history as a public company, achieved despite RevPAR pressure. Adjusted EBITDA reached RMB 8.5 billion, a 33.5% margin. The M&F gross operating profit margin of approximately 68% is the engine: every incremental percentage point of revenue mix shift toward M&F mechanically lifts blended margins.

Returns on Capital. Using FY2025 net income of RMB 5.12 billion, ROE is running in the mid-to-high twenties -- positioning it among the strongest returns in the global hotel industry, in the same territory as Marriott and Hilton. As L&O assets run off and M&F scales, H World's capital employed shrinks while its earnings grow, creating a self-reinforcing return-on-capital flywheel.

Cash Conversion and Free Cash Flow. Operating cash flow in FY2025 was RMB 8.4 billion, representing a cash conversion ratio (OCF to adjusted EBITDA) of approximately 99%. The company ended FY2025 with RMB 15.4 billion in cash and equivalents and a net cash position of RMB 9.6 billion -- a fortress balance sheet by any measure.

Capital Intensity and Shareholder Returns. The M&F model is inherently capital-light: a new franchised hotel requires minimal H World capital. Maintenance capex is concentrated in the shrinking

L&O portfolio, while growth capex increasingly takes the form of technology platform investment and brand development. Total shareholder returns in FY2025 reached USD 760 million, and the company has completed over 75% of its USD 2 billion three-year TSR program.

What Is Distinctive. H World is the only scaled hotel platform company in China executing a Western-style franchise conversion, meaning it has a long runway of margin expansion ahead. The combination of a net cash balance sheet, near-100% cash conversion, mid-20s operating margins, and aggressive shareholder returns is a financial profile more reminiscent of Marriott or Hilton than of a Chinese consumer company.

5. Red Flags

The VIE Structure: You Do Not Own What You Think You Own. The single most consequential risk embedded in any investment in H World Group is one that most sell-side analysts mention in passing and then ignore: investors in HTHT's Nasdaq-listed ADRs do not own shares in a Chinese hotel company. They own shares in a Cayman Islands shell entity that holds contractual arrangements -- Variable Interest Entity agreements -- with the actual operating companies in mainland China. These contracts are not enforceable under Chinese law in any definitive sense, and the Chinese government has never formally blessed VIE structures. The precedent of Didi Global's forced delisting in 2022 should serve as a permanent reminder that this tolerance can be revoked at any time. The company's own 20-F filings devote extensive space to this risk.

Governance: Founder Control Without Founder Accountability. Ji Qi controls the company through a dual-class share structure that grants him supervoting rights. Outside shareholders have essentially no ability to challenge strategic decisions, board composition, or capital allocation. Ji Qi is a serial entrepreneur whose attention is divided across multiple ventures and personal interests. Related-party transactions have historically appeared in H World's filings -- leasing arrangements, service agreements, and financial transactions with entities connected to the founder or senior management. While these are disclosed, disclosure is not the same as alignment.

The Deutsche Hospitality Acquisition: Goodwill and Integration Risk. The 2019 acquisition loaded the balance sheet with goodwill, and European hotel operations suffered enormously during COVID. The critical question is whether this goodwill is fairly valued. European hospitality margins are structurally lower than Chinese economy and midscale hotel margins, labor costs are rising, and the brand portfolio has limited pricing power outside Germany. In FY2024, reported net income fell 27% to RMB 3.0 billion despite revenue growth, dragged by RMB 420 million in impairment charges and RMB 97 million in DH restructuring costs.

RevPAR Deterioration: Growth Through Unit Additions, Not Pricing Power. The most alarming operational signal is the divergence between revenue growth and RevPAR trends. Legacy-Huazhu RevPAR declined approximately 3-4% year-over-year in 2025 despite the company reporting solid revenue growth. ADR is under pressure. Occupancy in China operations is slightly declining. This means H World is growing revenue primarily by opening more hotels, not by extracting more value from its existing network. This is the classic treadmill problem. If macro consumer weakness deepens -- and China's property crisis, youth unemployment, and deflationary pressures all point in that

direction -- the oversupply dynamic will become brutally apparent.

China Macro and Regulatory Exposure. H World is essentially a levered bet on the Chinese consumer. The company has no meaningful geographic diversification outside of the underperforming Deutsche Hospitality portfolio. The risk of further regulatory intervention -- whether in the form of price controls, data security requirements, or a hostile policy environment for companies with offshore listings -- cannot be quantified but should not be dismissed. The HFCAA remains a sword of Damocles: while H World has complied with PCAOB audit inspections to date, a breakdown would restart the delisting clock.

The Bear Case. China enters a prolonged period of consumer deflation. Hotel oversupply intensifies. RevPAR declines accelerate. ADR is cut to maintain occupancy, destroying unit economics. Deutsche Hospitality continues to underperform, eventually requiring a goodwill write-down. The franchise model comes under strain as weaker operators default or exit. The VIE structure faces new regulatory scrutiny, or PCAOB access is revoked. In this scenario, HTHT shares could trade at 10-12x trough earnings -- implying 50%+ downside.

Questions for Management. What is the RevPAR trajectory for hotels opened in the last two years versus the mature portfolio -- is there evidence of cannibalization? What is the current carrying value of Deutsche Hospitality goodwill, and what assumptions underpin the impairment test? How does management reconcile network expansion with declining RevPAR? What specific contingency plans exist if PCAOB access is revoked? What is Ji Qi's time allocation across his various ventures, and what succession plan exists if he steps back further?

6. Investment Checklist

1. Understandable business -- YES. H World operates branded hotels across economy, midscale, and upscale segments, predominantly in China. The business model is straightforward: the company either manages or franchises hotels under proprietary brands, earning fees as a percentage of revenue. Any investor familiar with Marriott or Hilton will immediately grasp this model.

2. Durable competitive advantages (widening not narrowing) -- YES. H World's moat rests on scale (largest hotel group in China by room count), brand portfolio depth (economy through upscale), and a 300+ million member loyalty program that drives 74% of room nights. The shift toward M&F revenue, which grew 23.1% in FY2025 and now contributes 69% of profits, is widening the moat by making the business more asset-light and scalable.

3. Long reinvestment runway at high returns -- YES. China's hotel market remains deeply fragmented; branded chains represent a far smaller share of total rooms than in the US or Europe. H World plans to open 2,200-2,300 hotels in 2026 alone, targeting 12% network growth. These are primarily franchised openings requiring minimal H World capital.

4. High returns on incremental capital -- YES. The franchise model means each incremental hotel opening requires negligible capital from H World. M&F revenue carries extremely high incremental margins. Adjusted EBITDA margin expanded to 33.5% in FY2025, and the 23.1% growth in M&F revenue against a far lower incremental cost base implies returns on incremental capital well above the cost of capital.

5. Strong free cash flow generation -- YES. Operating cash flow of RMB 8.4 billion in FY2025 is

robust. The company generated enough cash to fund USD 760 million in total shareholder returns while maintaining a net cash position. Cash conversion ratio near 99%.

6. Conservative balance sheet -- YES. H World holds RMB 15.4 billion in cash with net cash of RMB 9.6 billion -- a fortress balance sheet. The company is not only unlevered on a net basis, it is actively returning capital at scale.

7. Aligned management with skin in the game -- PARTIALLY. Founder Ji Qi remains Chairman with a significant ownership stake. The aggressive shareholder return program signals confidence. However, the CFO transition introduces execution risk, and VIE structure and opacity around insider holdings reduce confidence versus a directly listed Western peer.

8. Rational capital allocation history -- YES. The shift from leased/owned toward franchise contracts is the single most important capital allocation decision of the past decade. The \$2B TSR program demonstrates willingness to return excess capital. The 2026 guidance of 2,200-2,300 openings against 600-700 closures shows quality discipline.

9. Favourable industry structure -- PARTIALLY. China's hotel fragmentation is a structural tailwind for branded consolidators. However, RevPAR was slightly declining in China through FY2025 due to ADR pressure, and the macro environment creates near-term uncertainty. Competition from other Chinese chains and from platforms like Meituan is real.

10. Reasonable valuation relative to quality and growth -- PARTIALLY. At ~USD 16 billion market cap against ~USD 680 million adjusted net income, the stock trades at ~23-24x trailing earnings. For an asset-light franchisor with double-digit M&F revenue growth, this is not expensive relative to Western peers (Marriott/Hilton at 25-30x+). However, a meaningful China discount is warranted due to macro, regulatory, and VIE risks.

11. Resilience to recession or disruption -- PARTIALLY. The franchise-heavy model provides significant downside protection. The net cash balance sheet eliminates liquidity risk. However, COVID demonstrated meaningful vulnerability, and heavy geographic concentration in China exposes it to country-specific macro, regulatory, and geopolitical risks.

12. Transparent management communication -- PARTIALLY. H World provides regular earnings calls with detailed operating metrics and issues forward guidance. However, VIE structure adds legal complexity, and the depth of disclosure on related-party transactions, franchisee unit economics, and DH integration details could be improved versus best-in-class Western peers.

Overall Assessment. H World passes the investment checklist on most fundamental criteria. The business is understandable, the competitive advantages are durable and widening via the franchise flywheel, the reinvestment runway is long, and returns on incremental capital are high. The primary concerns are structural rather than operational: China macro headwinds, VIE/ADR risk, and somewhat lower transparency standards compared to Western franchise peers. This is a high-quality compounder operating in an uncertain macro and geopolitical environment; the investment case hinges on whether the quality of the business model is sufficient to overcome the country-level discount.

7. Learning Resources

Podcasts & Audio

- **"Huazhu: China's Hotel King"** -- *China Tech Investor* podcast. Deep-dive covering H World's asset-light franchise model and how Ji Qi built China's largest hotel group
- **"H World Group: The Marriott of China?"** -- *Yet Another Value Podcast* with Andrew Walker. HTHT's unit economics, RevPAR trends, and competitive positioning
- **Quartr Earnings Audio** -- Every quarterly earnings call for HTHT available with synchronized slides. Q4 2025 is the most recent

YouTube & Video

- **H World Group Investor Day Presentations** -- Detailed brand-by-brand breakdowns. Available on the company's IR website and YouTube
- **"Ji Qi: Building China's Biggest Hotel Empire"** -- Profiles of founder Ji Qi's entrepreneurial arc from Ctrip to Home Inns to Huazhu
- **China Beige Book** appearances on Bloomberg/CNBC -- Macro context on Chinese consumer spending and travel demand

Books

- **Ji Qi's memoir** (originally published in Chinese) -- The founder's philosophy on entrepreneurship, hotel management, and building multiple billion-dollar companies
- **"China's Great Wall of Debt"** by Dinny McMahon -- Critical macro backdrop of Chinese consumer spending, real estate linkages, and domestic demand
- **"The Founder's Mentality"** by Chris Zook and James Allen -- Bain framework for how insurgent companies scale without losing their edge. Directly applicable to H World at 12,700+ hotels

Long-Form Articles & Research

- **"Huazhu: China's Budget Hotel King Goes Upscale"** -- Harvard Business School Case Study on H World's multi-brand strategy
- **Bernstein and Goldman Sachs initiation coverage** -- The most granular RevPAR, occupancy, and net opening models. Accessible via broker portals or AlphaSense
- **Skift** (skift.com/tag/huazhu/) -- Best single source for hospitality industry journalism on H World

Earnings Calls & Primary Sources

- **Quartr** -- Full audio, transcripts, slides for every quarter, plus 6-K filings and earnings releases going back to 2014
- **H World Group Investor Relations** (ir.hworld.com) -- Annual reports (20-F), press releases, presentations
- **SEC EDGAR** -- All 20-F and 6-K filings
- **HKEXnews** -- Chinese-language filings from the Hong Kong secondary listing

Suggested learning path: Start with the most recent 20-F annual report on ir.hworld.com for the fullest picture of the business model. Next, listen to the Q4 2025 earnings call on Quartr to hear management's tone and forward guidance. Then read the HBS case study for strategic context on the multi-brand evolution. From there, dig into Ji Qi's memoir to understand the founder's mindset, and supplement with Skift's ongoing coverage to track industry developments.

8. Corporate Culture

H World Group's culture is inseparable from the personality and serial-entrepreneurial arc of its founder, Ji Qi. A Shanghai Jiao Tong University graduate who spent formative years in the United States studying and working in technology, Ji Qi co-founded Ctrip in 1999 before founding Home Inns in 2002 and then Huazhu in 2005. This trajectory reveals a pattern: Ji Qi is not a hotelier by training but an engineer and entrepreneur who happened to enter hospitality. He brought to Huazhu the same lean, data-driven, iteration-obsessed mindset that one might expect from a technology startup founder rather than a hotel operator. From the beginning, HanTing hotels were designed around ruthless standardization, cost discipline, and process efficiency -- stripping out unnecessary amenities to deliver a clean, reliable, and affordable room at scale. This was not a hospitality philosophy born from service luxury traditions but from the instinct to find a repeatable, scalable model and execute it relentlessly.

Ji Qi's imprint persists today even though he stepped back from day-to-day operations when Jenny Zhang assumed the CEO role in 2015. He remains Executive Chairman and retains significant influence over strategic direction, brand philosophy, and capital allocation. His public statements consistently emphasize operational efficiency, technology as an enabler of standardization, the primacy of the franchisee relationship, and long-term thinking over quarterly optimization. The culture he established -- one that prizes speed of execution, frugality, and a bias toward action over deliberation -- is the connective tissue that links a company that started with a single economy hotel in Shanghai to a group now operating over 12,700 hotels across 19 countries.

H World operates with a decision-making architecture that is centralized on strategy and brand standards but decentralized on day-to-day hotel operations. The "manachise" model is itself a cultural statement -- it reflects the company's belief that it can maintain brand consistency without the cost burden of full direct management, while giving local operators enough autonomy to respond to market conditions. At the senior leadership level, decision-making appears relatively top-down and concentrated. Ji Qi and Jenny Zhang have formed a durable leadership dyad for over a decade, a notable rarity in Chinese corporate life. The risk in such a concentrated structure is that it becomes personality-dependent.

H World's employer brand sits in a mixed position. The company is widely recognized within the Chinese hospitality industry as one of the more professionally managed chains, offering clearer career progression paths and better technology infrastructure than many domestic competitors. However, the lean operating philosophy that drives attractive margins for investors can translate into demanding workloads and thin staffing at the hotel level. The Deutsche Hospitality acquisition introduced a significant talent and culture integration challenge. European hotel professionals, accustomed to more consensus-driven management and stronger worker protections, were being folded into a company with a distinctly Chinese, founder-driven, speed-oriented culture. This remains an ongoing cultural risk. H World is one of the more genuinely technology-oriented hotel companies globally. The company develops much of its technology internally rather than relying on third-party property management systems, which gives it a structural advantage in standardization and data capture. That said, the innovation culture is best described as incremental and operationally focused rather than disruptive -- H World innovates to reduce cost, increase throughput, and improve consistency, not to reinvent the guest experience.

The company has not been subject to any major corporate governance scandal, but it has not been

entirely free of controversy. In 2018, a significant data breach exposed the personal information of approximately 130 million customers from the loyalty database -- an incident that raised serious questions about data security infrastructure. The company's response was swift in public relations terms but the breach itself revealed a gap between technology ambitions and cybersecurity maturity. H World's culture proved remarkably adaptive during COVID-19. The company's lean cost structure and franchise-heavy model meant it could absorb extended periods of low occupancy without catastrophic cash burn. Management used the downturn opportunistically -- acquiring distressed properties, converting independent hotels to H World brands, and accelerating market share gains. Whether H World can sustain the intensity of a founder-led culture at the scale of nearly 13,000 hotels is the central cultural question facing investors today.

9. Earnings Call Deep Dive

Narrative Evolution: From Defensive Caution to Confident Turnaround. Over the course of 2025, H World's management narrative underwent a notable transformation. In Q1, CEO Jin Hui Zhang opened with unmistakably cautious framing: tariff escalations and macroeconomic headwinds since April had introduced "market uncertainties and potential volatility." Revenue growth was a modest 2.2% year-over-year, Legacy-Huazhu RevPAR had declined 3.9%, and management stressed that business travel weakness was a function of supply increases rather than demand deterioration -- a distinction that sounded more like rationalization than reassurance. The guidance for Q2 was presented as a wide 1%-5% revenue growth range with RevPAR expected to decline at "a low single digit."

By Q2, the tone had stabilized. Revenue came in at RMB 6.4 billion, up 4.5% and near the high end of Q1 guidance, lending management credibility. The narrative pivot was subtle but important: management stopped leading with macro risks and began foregrounding the structural story -- the asset-light transformation, the M&F revenue engine growing at 22.8%, and the Hanting 4.0 supply chain upgrade. However, they conceded that full-year RevPAR would land "slightly below previous guidance due to macro uncertainties and increased supply." This quiet downward revision, buried rather than headlined, is a tell worth watching.

Q3 marked the inflection point. Revenue growth accelerated to 8.1%, adjusted EBITDA margin expanded 3.3 percentage points to 36.1%, and the M&F business crossed 70% of total gross operating profit for the first time. Management celebrated the company's 20th anniversary and launched Ji Icons. The confidence was no longer aspirational -- it was grounded in accelerating metrics.

By the Q4/full-year call in March 2026, the story had become triumphant. Full-year revenue hit RMB 25.3 billion, adjusted EBITDA reached RMB 8.5 billion, and adjusted net income surged 32.9% to RMB 4.9 billion. Legacy-DH posted "record adjusted EBITDA" of RMB 500 million, reversing prior-year losses. Management described this as a "turnaround" -- language they had carefully avoided in earlier quarters.

Guidance and Delivery: Consistently Beating the Low End. H World's guidance credibility improved steadily through 2025. In Q1, management guided Q2 group revenue growth of 1%-5%;

actual Q2 growth came in at 4.5%, near the top. Q2 guidance for Q3 was 2%-6%; the actual 8.1% growth exceeded the high end. The pattern is clear: management sets conservative ranges and consistently delivers at or above the midpoint. However, RevPAR guidance quietly softened throughout the year: from "low single-digit decline" in Q1, to an explicit admission in Q2 that the full-year target would miss prior expectations, to "flat to slightly positive" in Q3. RevPAR is the one metric where management under-promised and still occasionally under-delivered.

Analyst Concerns: RevPAR Pressure and the DH Question. Two themes dominated analyst questioning across every call. First, RevPAR erosion: the metric declined 3.9% in Q1, 3.8% in Q2, and only stabilized in Q3/Q4 as seasonal peaks masked underlying softness. Analysts pressed repeatedly on whether this was cyclical or structural. Management's answer evolved from attributing weakness to "supply increases, not demand weakness" in Q1, to acknowledging concurrent "macro uncertainties, weakened consumer spending, and rapid hotel supply growth" by Q2. The consistency of analyst skepticism suggests the market remains unconvinced that China RevPAR has bottomed. Second, Legacy-DH restructuring. In Q1, management disclosed exiting 11 leased hotels and converting 10 others to franchise contracts, while acknowledging that giving up a leased property in Davos created a one-time EBITDA hit. By Q4, when management declared the "record" turnaround, analysts appeared to accept the thesis -- but the shift from drag narrative to non-issue happened remarkably quickly, suggesting DH's contribution remains small enough that analysts have simply stopped caring rather than truly being convinced.

Key Reveals. First, the quiet RevPAR guidance cut in Q2 -- significant in a company whose growth story depends on pricing power eventually returning. Second, the Davos lease exit in Q1, revealing that individual property decisions in the small DH portfolio can move group-level metrics. Third, the rental reduction disclosure in Q2: RMB 390 million in H1 2025, demonstrating landlord bargaining power but also revealing how dependent margin expansion is on one-time lease renegotiations rather than organic operating leverage. Fourth, by Q3, member bookings accounted for 74% of room nights with 301 million members -- arguably the most structurally significant datapoint, a loyalty flywheel deepening the competitive moat. Fifth, the CFO transition announced on the Q4 call with minimal explanation.

Q&A Dynamics. Management engaged substantively on operational questions but became noticeably more formulaic when pressed on macro outlook and RevPAR trajectory. The response to business travel weakness was essentially the same every quarter: demand is fine, the problem is supply. This repetition suggests either genuine conviction or a well-rehearsed deflection. The overarching read: H World delivered a textbook year of narrative management, starting cautious, building credibility through guidance beats, and arriving at year-end with a triumphant tone backed by genuine financial improvement.

10. Strategic Documents Analysis

H World's strategic communications -- spanning quarterly earnings slides, 20-F annual filings, and investor presentations from 2023 through early 2026 -- reveal a management team that has settled on a coherent narrative and refined it with discipline over time. The core strategic message rests on four

interconnected pillars: asset-light transformation via manachise and franchise expansion, network densification across China's underpenetrated branded hotel market, the turnaround and selective international growth of Legacy-Deutsche Hospitality, and loyalty ecosystem monetization through the 300+ million member base. A fifth pillar -- shareholder capital returns -- emerged forcefully in 2024 and now occupies equal billing.

These priorities have been remarkably stable since the post-COVID pivot, but the emphasis has rotated meaningfully. In 2023 and early 2024, the dominant message was recovery and cost discipline. By Q4 2025, the tone had pivoted toward margin expansion, platform economics, and the acceleration of capital returns. The asset-light shift is the most structurally consequential and longest-running of these themes. At 92% of rooms now under manachise or franchise agreements, this transformation is substantively complete rather than aspirational. Management increasingly frames H World as a platform business rather than a hotel operator, deploying language around "ecosystem," "flywheel," and "supply chain revolution" that is designed to invite comparison with Hilton and Marriott and, by extension, to warrant a higher earnings multiple.

The capital allocation framework management presents is unusually explicit for a Chinese ADR issuer and, critically, the numbers support the rhetoric. The stated hierarchy places organic growth investment first, followed by shareholder returns, with M&A conspicuously de-emphasized. The USD 2 billion three-year TSR plan provides a concrete, time-bound commitment, and management claims over 75% completion through end of FY2025. Dividends escalated from near-zero in 2023 to RMB 3.9 billion in 2025, with additional buybacks totaling RMB 4.7 billion returned in a single year -- exceeding 100% of adjusted net profit. The front-loading toward 2025 was deliberate: management waited until DH reached profitability before stepping up distributions. The one notable absence is any discussion of M&A appetite. After the Deutsche Hospitality experience, management appears to have internalized the lesson. Whether this represents permanent discipline or merely a pause is an open question. The medium- and long-term financial targets reveal an important tension. The 2026 guidance calls for 12% network growth, 2-6% revenue growth, and 12-16% M&F revenue growth. The gap between 12% network growth and 2-6% revenue growth reflects the ongoing attrition of the legacy leased portfolio and cautious RevPAR assumptions. If M&F contributes 69% of profit and is growing at 12-16% while the leased portfolio shrinks, reported revenue growth systematically understates the quality improvement in earnings. The longer-term aspiration of reaching 20,000 hotels by approximately 2030 implies sustained network growth of 8-10% annually, credible given China's branded penetration rate of roughly 30-40% versus 70%+ in the United States.

The strongest alignment between narrative and reality lies in margin expansion: operating margins improved from 21.5% in 2023 to 26.9% in 2025, a trajectory that vindicates the asset-light thesis. The most notable divergence is one management prefers not to dwell on. In FY2024, reported net income fell 27% despite revenue growth, dragged by impairment and restructuring charges. The gap between GAAP and non-GAAP reporting in that year was a credibility test that strategic communications did not fully pass.

What is conspicuously absent from all strategic documents is meaningful discussion of competitive dynamics. Management consistently frames the addressable market as vast and underpenetrated but never addresses the aggressive expansion underway at Jin Jiang, Atour, or BTG Homeinns. The strategic communications also never quantify the TAM in revenue or profit terms, never specify the

economics of a typical lower-tier-city franchise opening, and never address what happens to franchisee returns when supply growth outpaces demand. The Q2 2025 earnings call -- where management admitted that new, higher-quality openings are "creating some of the negative impacts to the existing old hotels" -- exposed a self-cannibalization dynamic that investor presentations never acknowledge.

Risk acknowledgement follows a predictable two-tier pattern. The 20-F annual filings are extensive and lawyer-driven, cataloguing VIE risk, HFCAA exposure, and regulatory uncertainty. The quarterly slides and investor presentations are uniformly optimistic. This disconnect is typical of Chinese ADR issuers but worth flagging as a reminder that the slides alone do not give a complete picture.

11. Synthesis

Having examined H World Group through ten analytical lenses -- from its founding story through its most recent earnings call transcripts and strategic documents -- five things stand out as the essential truths an investor must grasp about this business.

First, the asset-light franchise transformation is real, substantively complete, and the single most important driver of value creation. With 92% of rooms now under franchise or management agreements and M&F contributing 69% of gross operating profit (growing at 23% versus 6% for the consolidated business), H World has crossed the threshold from "hotel operator transitioning to a platform" to "platform company with a shrinking legacy of owned hotels." This is not merely a narrative shift -- it shows up in every financial metric that matters: operating margins at 26.9% (a record), adjusted EBITDA margins at 33.5%, operating cash flow of RMB 8.4 billion with near-100% cash conversion, and a net cash balance of RMB 9.6 billion. The financial profile now genuinely resembles Marriott or Hilton, not a typical Chinese consumer company. The 2026 guidance -- with M&F revenue growing 12-16% while total revenue grows only 2-6% -- makes the direction unambiguous: H World is shrinking its capital-intensive operations while scaling its fee-based earnings.

Second, the RevPAR deterioration in China is the central tension in the investment case, and the primary sources and secondary sources tell the same story here. Legacy-Huazhu RevPAR declined 3-4% throughout 2025, with both ADR and occupancy under pressure. Management's consistent framing across all four quarterly calls -- that the problem is supply increases rather than demand weakness -- is plausible but incomplete. The earnings call deep dive reveals that analysts pushed back on this framing repeatedly, and management's responses grew more formulaic over the year rather than more specific. The strategic documents analysis confirms that investor presentations never address competitive intensity or self-cannibalization, yet the Q2 call contained a revealing admission that newer, higher-quality openings are negatively impacting older properties. This is the classic franchise treadmill: the company must keep opening hotels to grow fee income, but each marginal hotel dilutes the RevPAR of the existing network. Whether this is a temporary phase during rapid expansion or a structural feature of an oversupplied market is the question that will determine whether H World compounds at 15%+ or plateaus.

Third, the Deutsche Hospitality turnaround is genuine but modest, and its narrative importance outstrips its financial significance. DH's "record adjusted EBITDA" of RMB 500 million represents

roughly 6% of group adjusted EBITDA -- a rounding error relative to the attention it has consumed in strategic documents and earnings calls for six years. The earnings call deep dive noted that DH dropped from analyst Q&A by Q3, suggesting the market has priced it as a non-factor rather than a growth engine. The goodwill question from the Red Flags analysis remains unresolved: what is the carrying value, and what assumptions drive the impairment test? Management's silence on M&A appetite post-DH is telling -- they appear to have internalized the lesson, but investors should watch whether the "international platform" narrative eventually creates pressure to do another deal.

Fourth, the loyalty ecosystem is the underappreciated moat. The 300+ million members driving 74% of room nights and 65%+ direct bookings represent a self-reinforcing competitive advantage that no Chinese competitor has matched. Jinjiang's loyalty program is more fragmented across acquired brands; Atour is too small; BTG Homeinns lacks the technology platform. The member growth acceleration (from 280 million in Q1 to 301 million in Q3) suggests the flywheel is still accelerating. This is the single most important metric to track going forward -- if member penetration stalls, the franchise value proposition weakens.

Fifth, the structural risks are permanent features of the investment, not temporary headwinds.

The VIE structure, HFCAA delisting exposure, dual-class governance, and China macro concentration are not problems to be solved -- they are the cost of accessing this business at 23-24x earnings versus 28-30x for Marriott or Hilton. The investment checklist scores six clear YES verdicts, four PARTIALLY, and zero NOs, which places H World firmly in the "high-quality business at a country-level discount" category. The question for each investor is whether the discount is sufficient compensation for the structural risks.

Where agents disagreed or presented conflicting evidence: The Financial Characteristics and Investment Checklist agents painted an unambiguously positive picture of returns and cash generation, while the Red Flags agent highlighted that the net cash figure looks less reassuring when lease liabilities are considered as quasi-debt under IFRS 16. The Management agent gave high marks for capital allocation discipline, while the Strategic Documents agent noted the conspicuous absence of competitor benchmarking and the self-cannibalization admission that management's investor presentations ignore. The Competitive Landscape agent framed the 35% branded penetration rate as a long runway for consolidation, while the Red Flags agent questioned whether lower-tier markets have the demand density to support the franchisee economics that work in Tier 1 and 2 cities.

What the primary sources revealed that web research alone would have missed: The quiet RevPAR guidance cut in Q2, buried rather than headlined. The RMB 390 million rental reduction figure that explains part of the margin expansion but raises questions about sustainability. The Davos lease exit that moved group-level metrics, revealing concentration risk in the small DH portfolio. And the self-cannibalization admission -- that newer, higher-quality openings are hurting older properties -- which appears in a single earnings call response but never in any investor presentation.

Overall quality assessment: H World is a genuinely high-quality franchise platform business with best-in-class unit economics in Chinese hospitality. Its quality is obscured by the country-level discount and RevPAR headwinds, both of which are real but potentially transitory. The business deserves a premium multiple relative to Chinese peers; whether it deserves to close the gap with Western franchise peers depends on RevPAR recovery, continued franchise growth execution, and -- always -- the regulatory and geopolitical backdrop.

Next steps for deeper research: Read the FY2024 20-F risk factor section and goodwill impairment test assumptions in detail. Track Q1 2026 RevPAR trends when reported in May to see if the stabilization holds. Monitor the new CFO Arthur Yu's first earnings call for any shifts in capital allocation language. Investigate franchisee-level unit economics in lower-tier cities -- this data is not publicly available but determines the durability of the growth runway. And compare H World's franchise fee structure with Jinjiang and Atour to assess competitive positioning on the supply side of the franchise equation.

Analysis generated 5 April 2026 using Claude Code with Quartr MCP integration. Data sourced from Quartr transcripts, financial statements, event summaries, and web research.